



WESTPAC ECONOMICS

CEO100 SURVEY

GEOPOLITICAL & ECONOMIC UPDATE

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17 March 2026



Global economy and financial markets

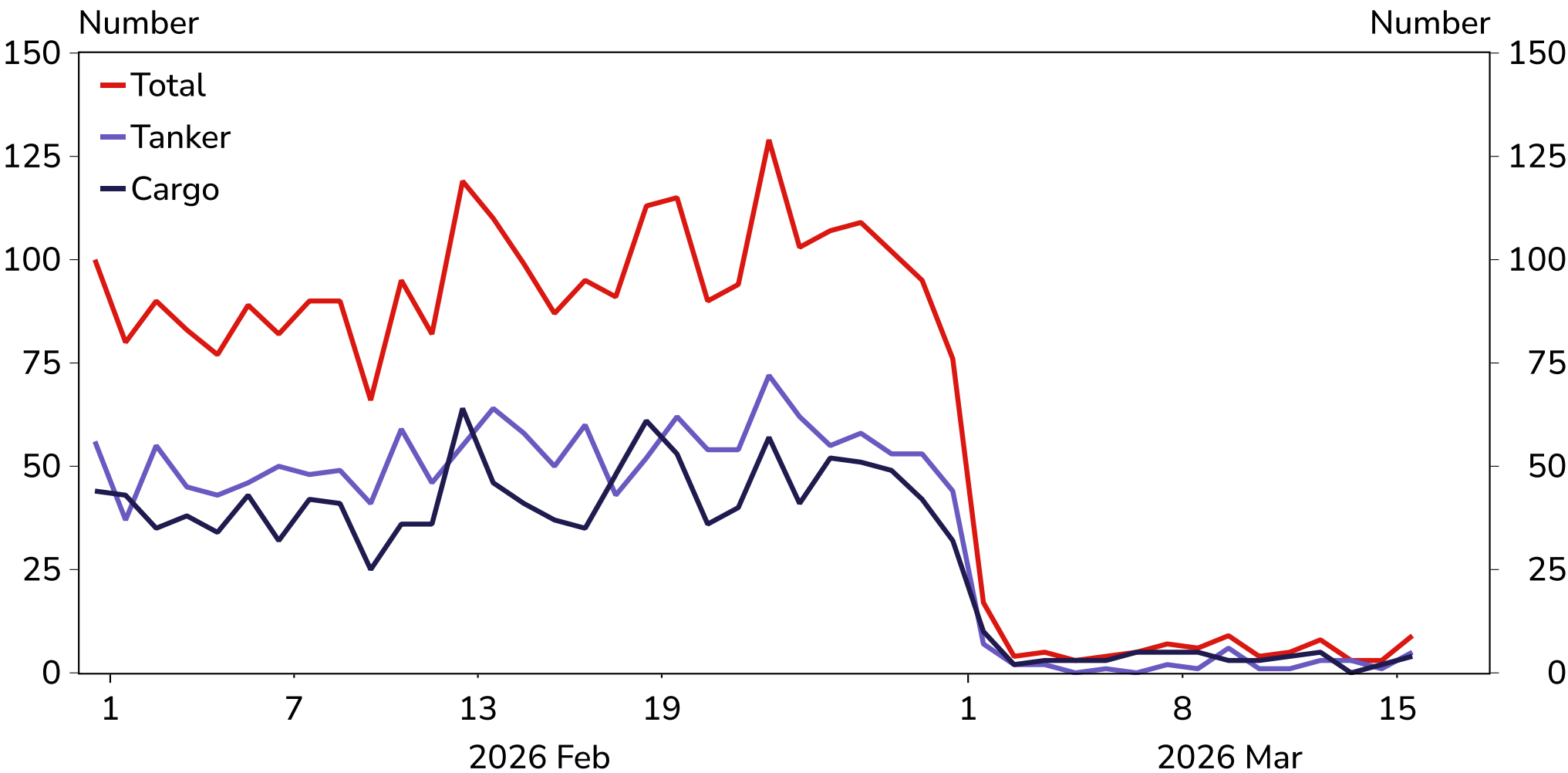
There is a war on!

- Oil, gas prices up, but the main issue is choking off of supply
 - Russian invasion of Ukraine had bigger price impact than current (so far), risk it goes higher
 - The longer this drags on, the bigger the issue, especially for emerging markets
- USD still overvalued but risk sentiment can shift abruptly
- A weaker USD dollar means a larger depreciation by the Kina against its major trading partners
- So far, US bond yields down a little since war broke out, but up in Australia
- Commodity prices, especially the ones that matter for PNG, are mostly higher since the war broke out

Insurance led closure of Strait of Hormuz



Strait of Hormuz Chokepoint Transit Calls

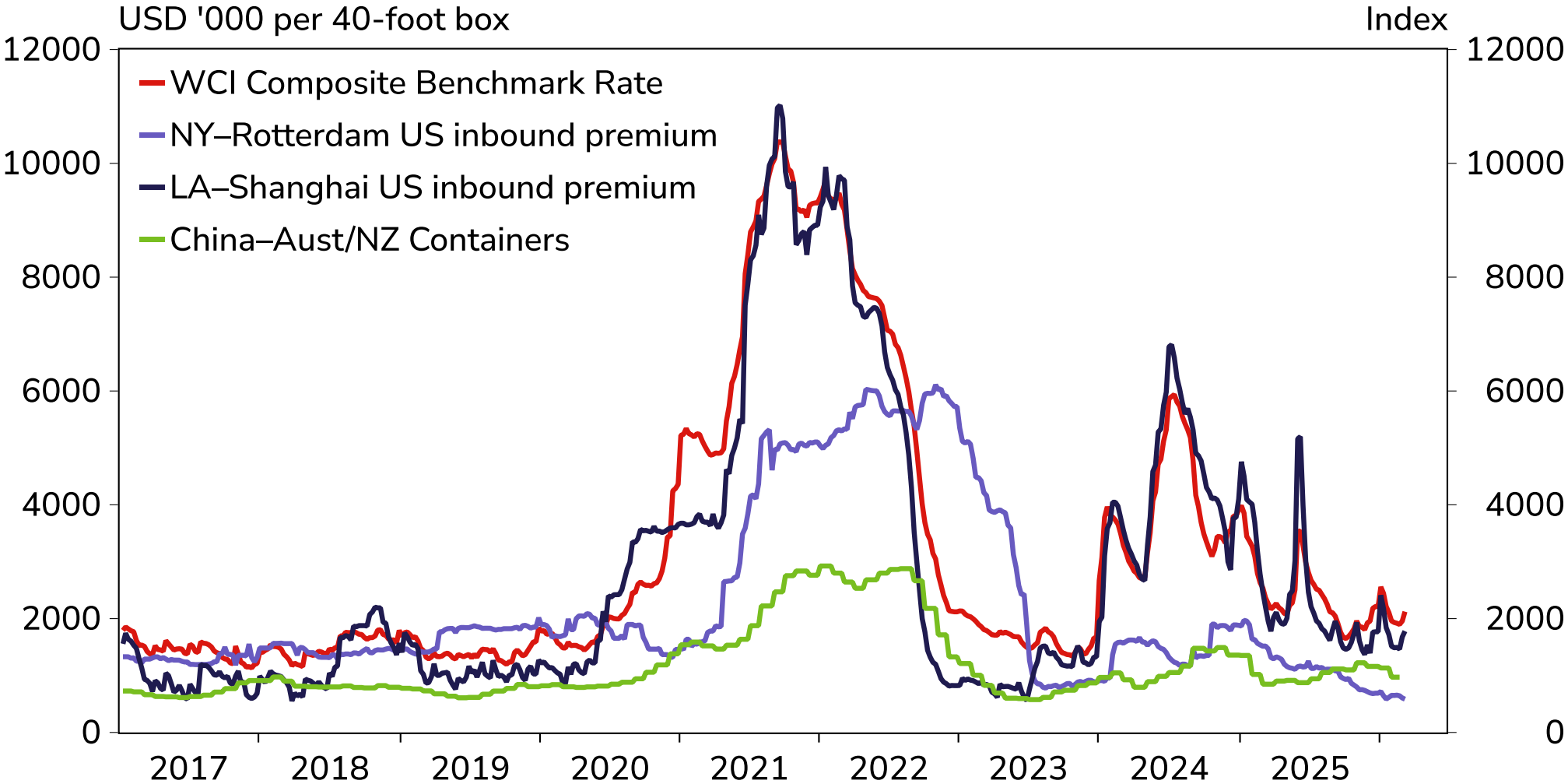


Source: IMF, Macrobond, Westpac Economics

Drone-led closure of Strait of Hormuz a key issue



Container Shipping Rates and Directional Premiums

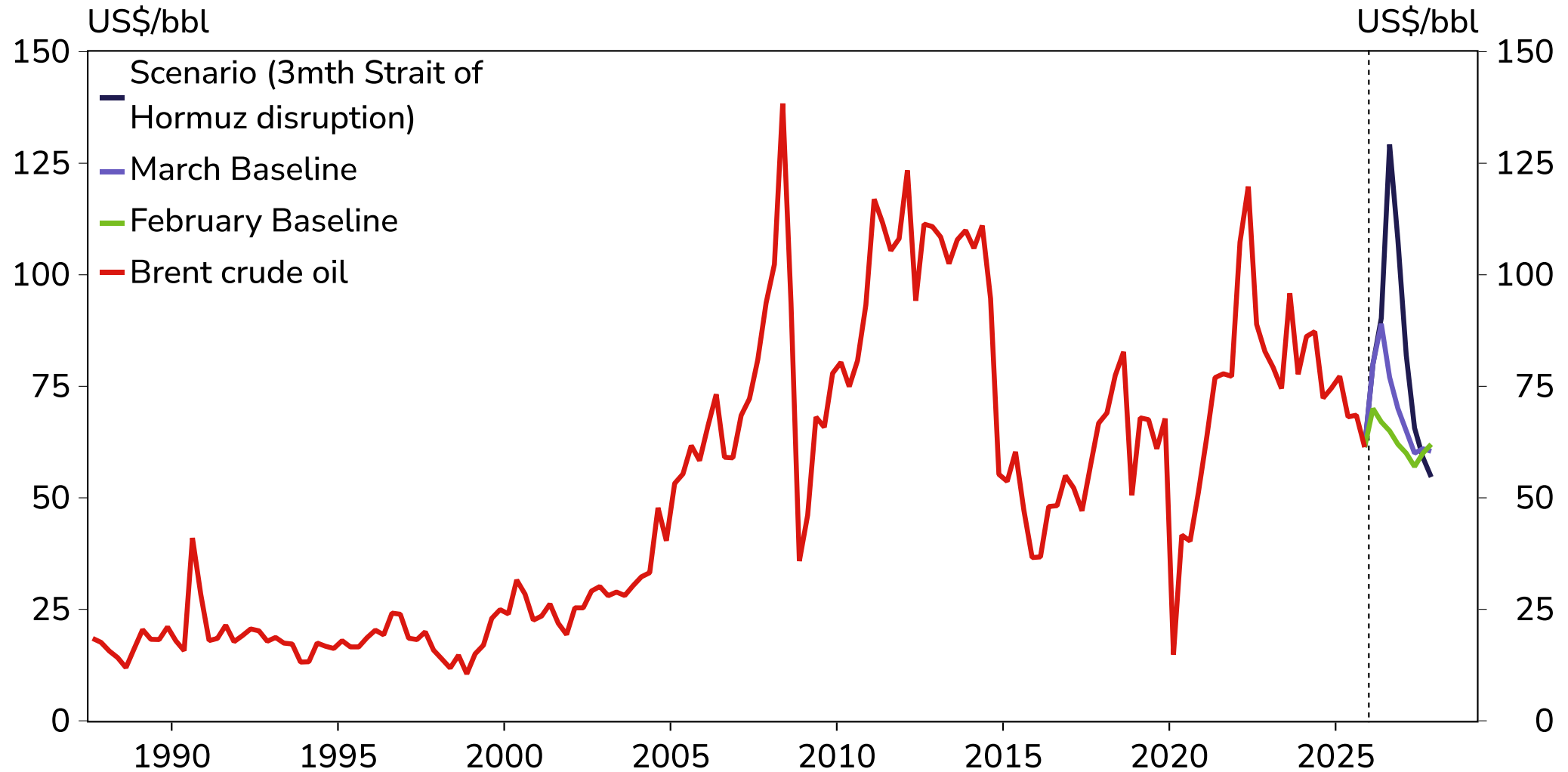


Source: MOT, Macrobond, Westpac Economics

...which could see oil prices go much higher...



Oil price scenarios

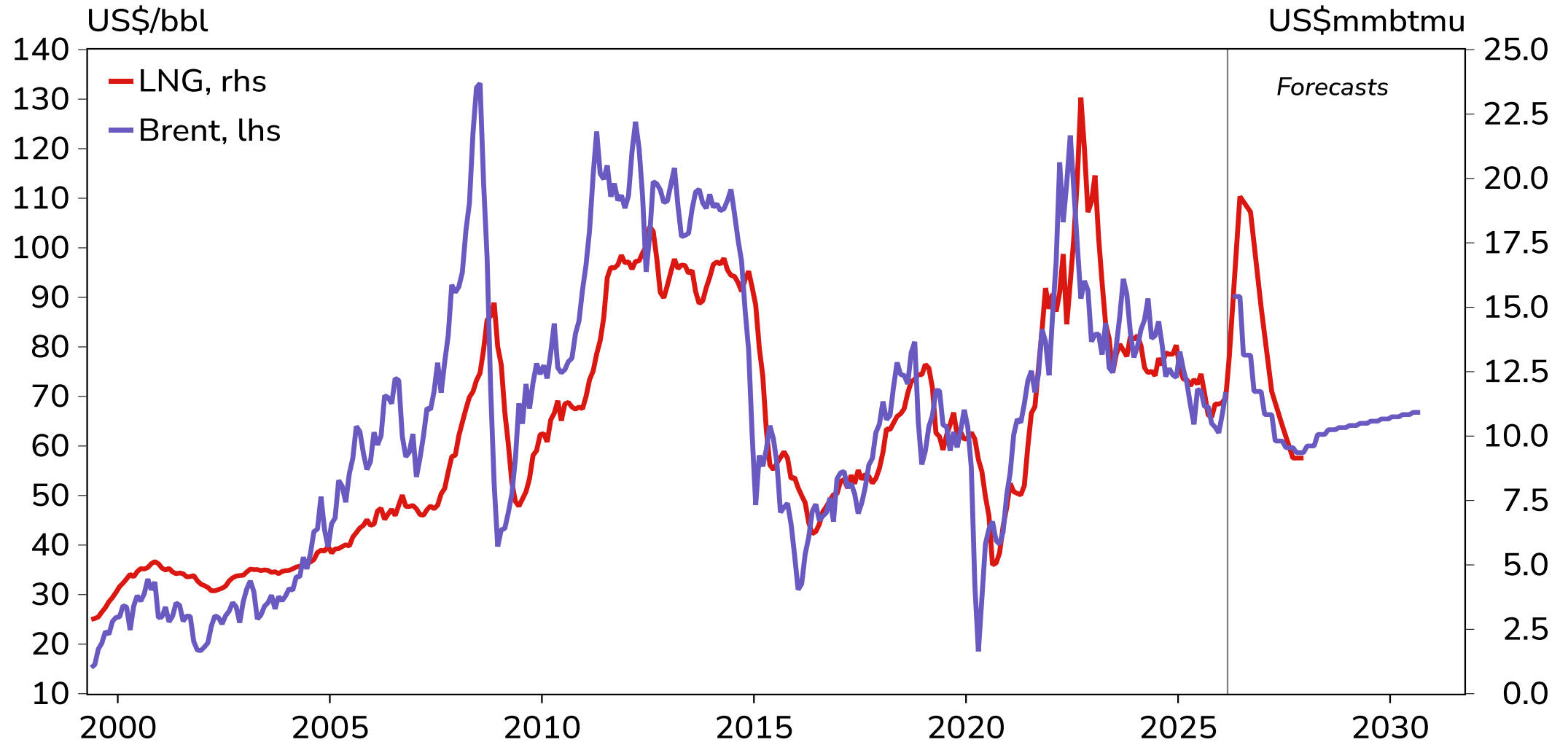


Source: EIA, Macrobond, Westpac Economics

...which could see oil prices go much higher...



Brent Crude remains the benchmark for LNG

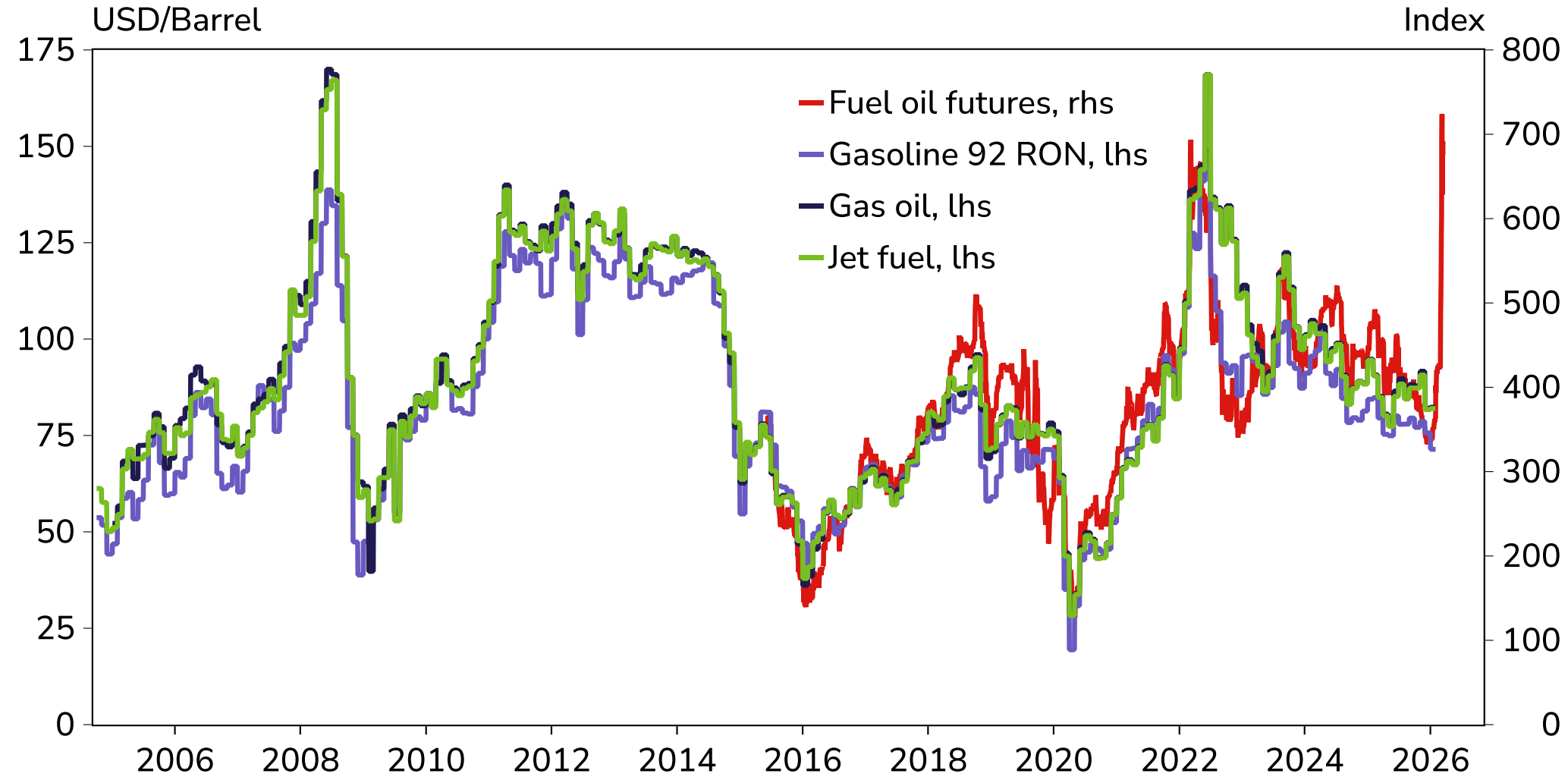


Source: EIA, Macrobond, Westpac Economics

War in Middle East spiking oil, petrol, LNG prices



Singapore refined fuel prices

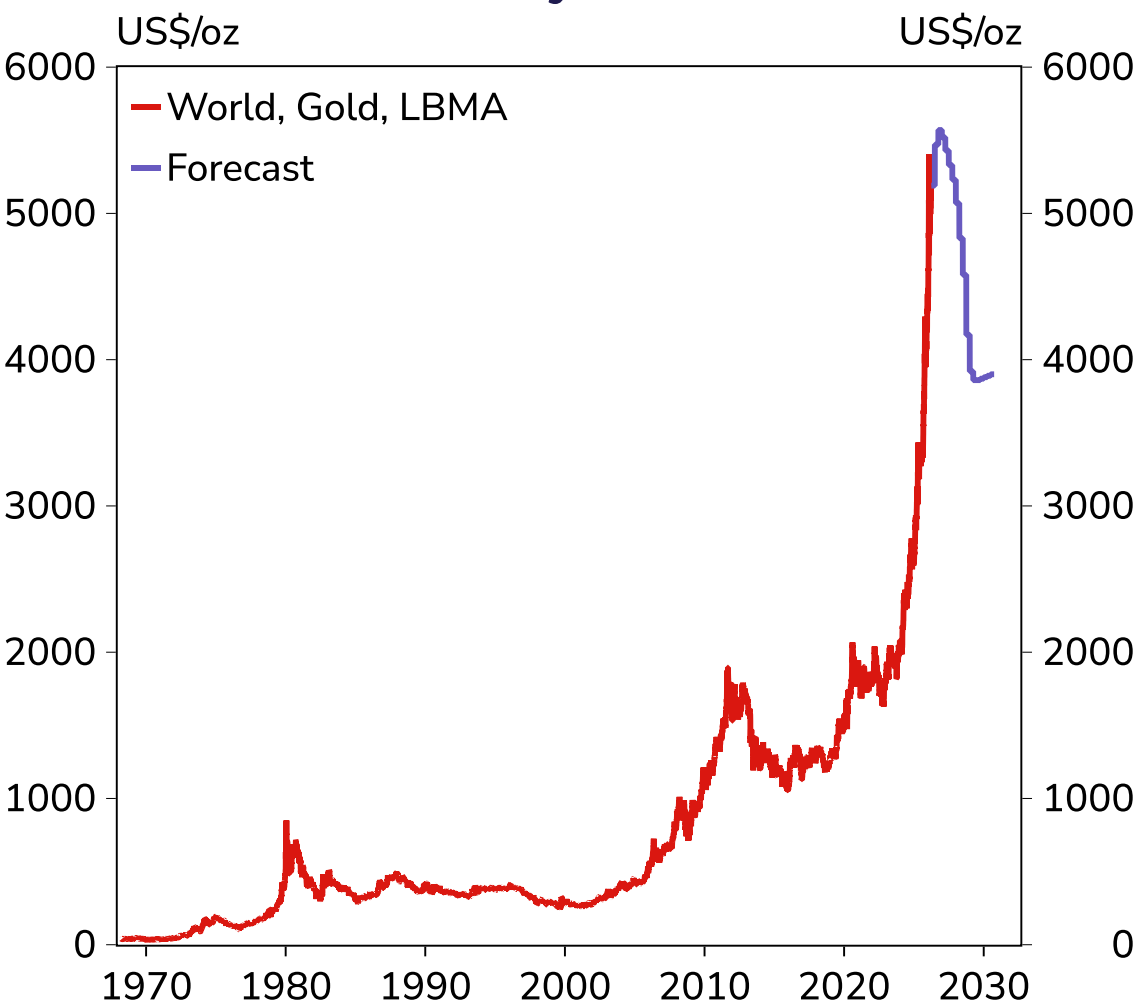


Source: SGX, OPEC, Macrobond, Westpac Economics

Export commodities doing well

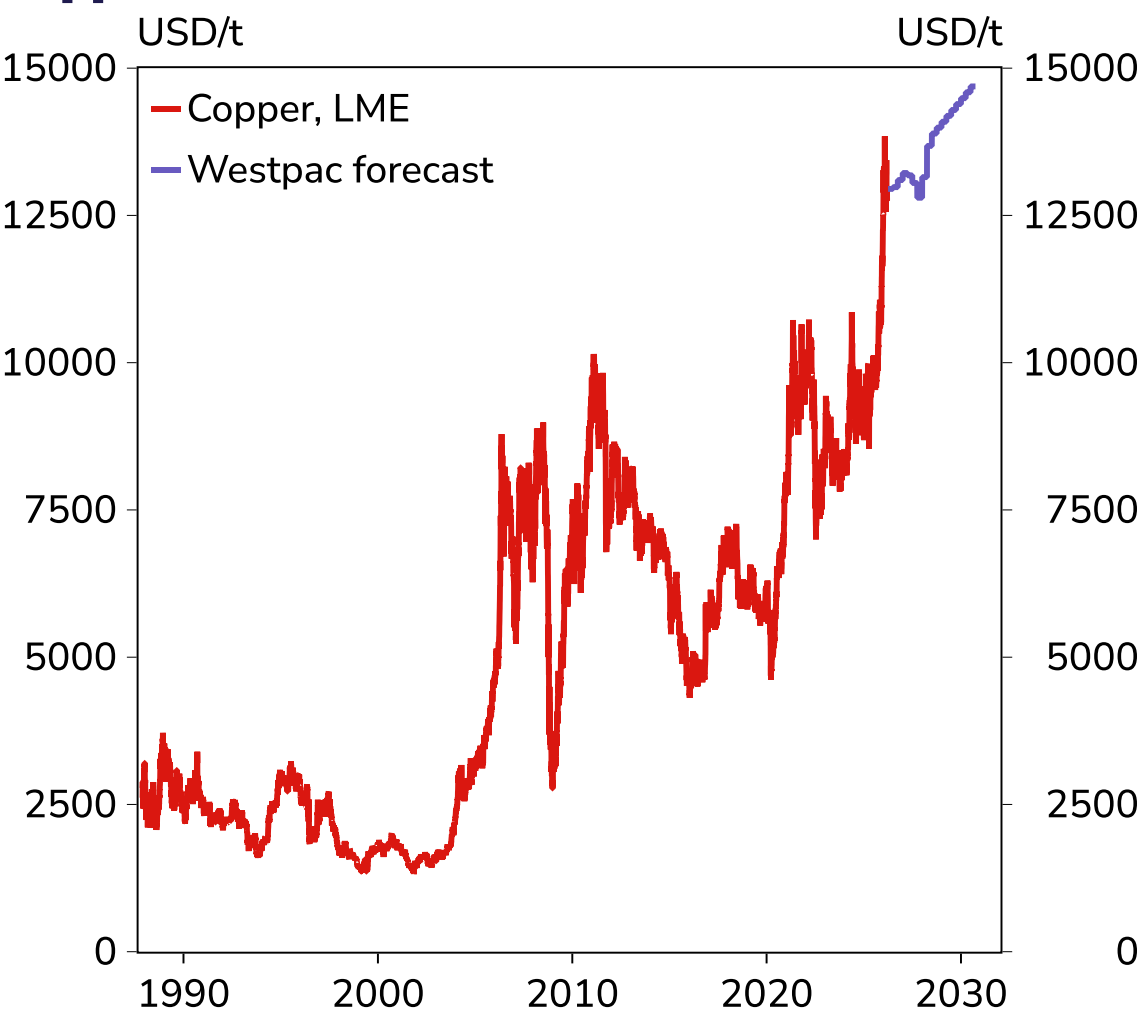


Gold continues the rally from 2024



Source: LBMA, FTSE Russell, Macrobond, Westpac Economics

Copper has a constructive outlook

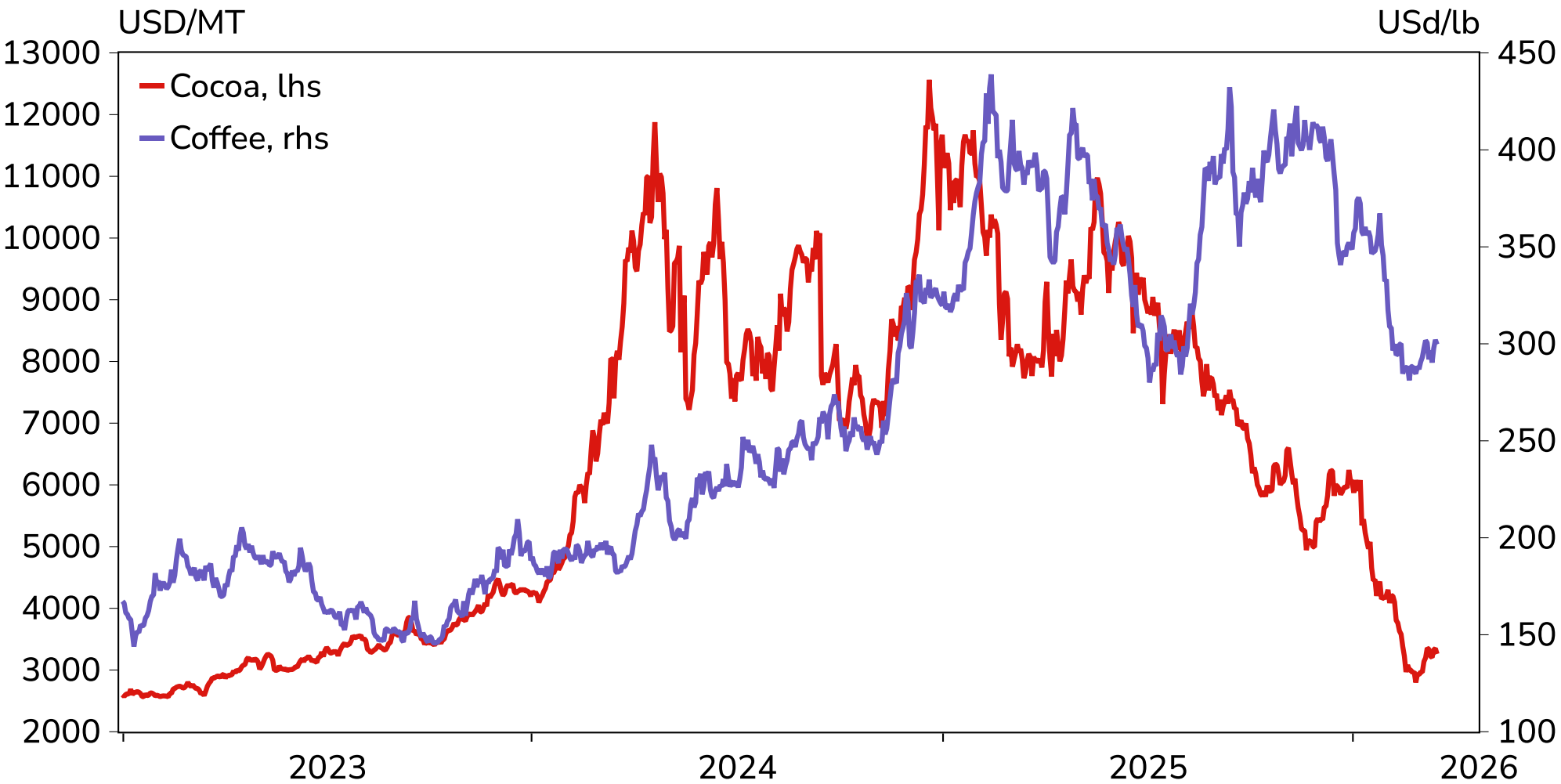


Source: LME, Macrobond, Westpac Economics

Local soft commodities are more mixed



Cocoa and Coffee

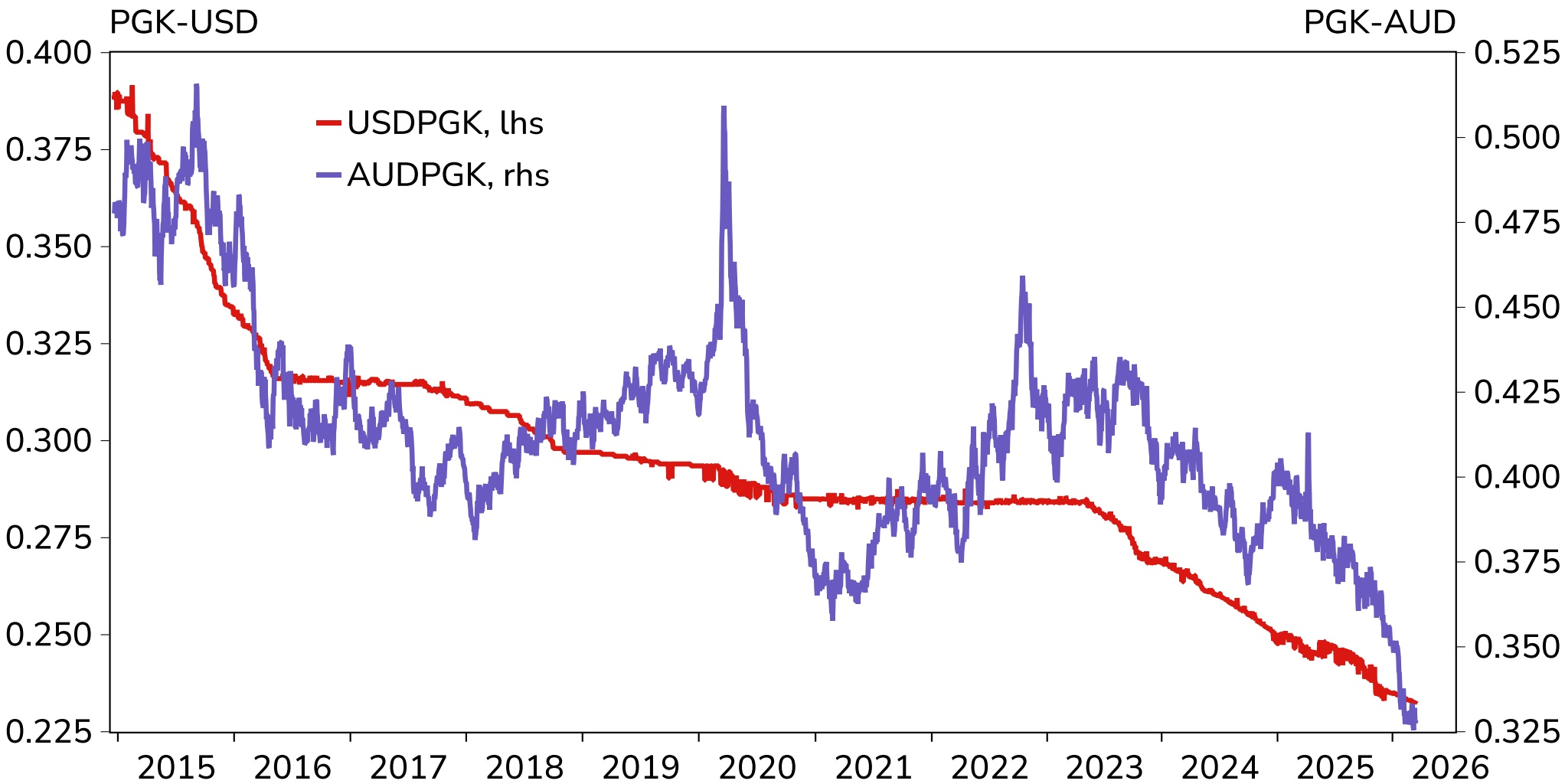


Source: Bloomberg, Macrobond, Westpac Economics

War still sees a weaker Kina against its trading partners



Kina Foreign Exchange Rate

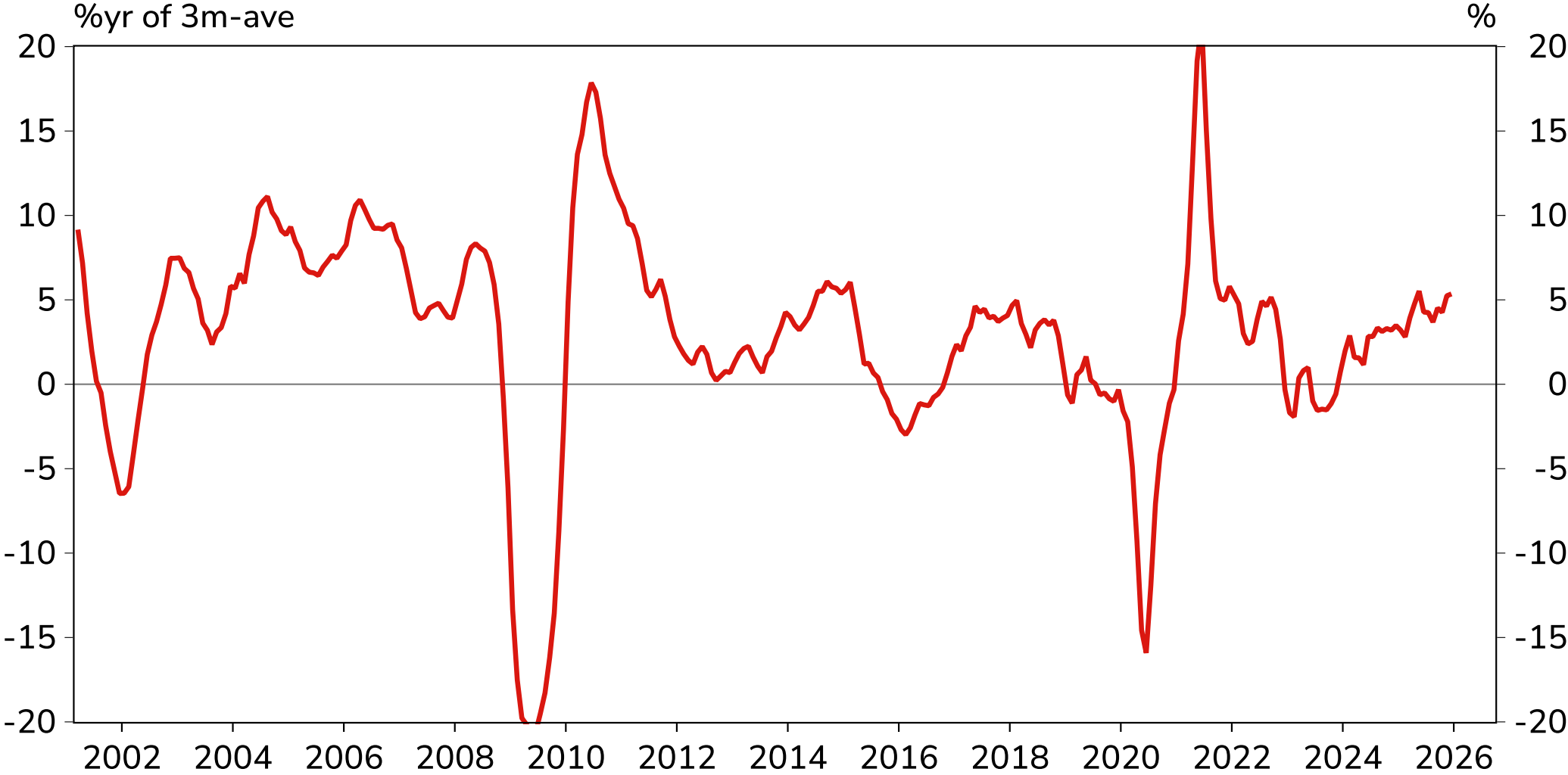


Source: , Macrobond, Westpac Economics

Global trade didn't falter after all



Growth in World Trade Volumes

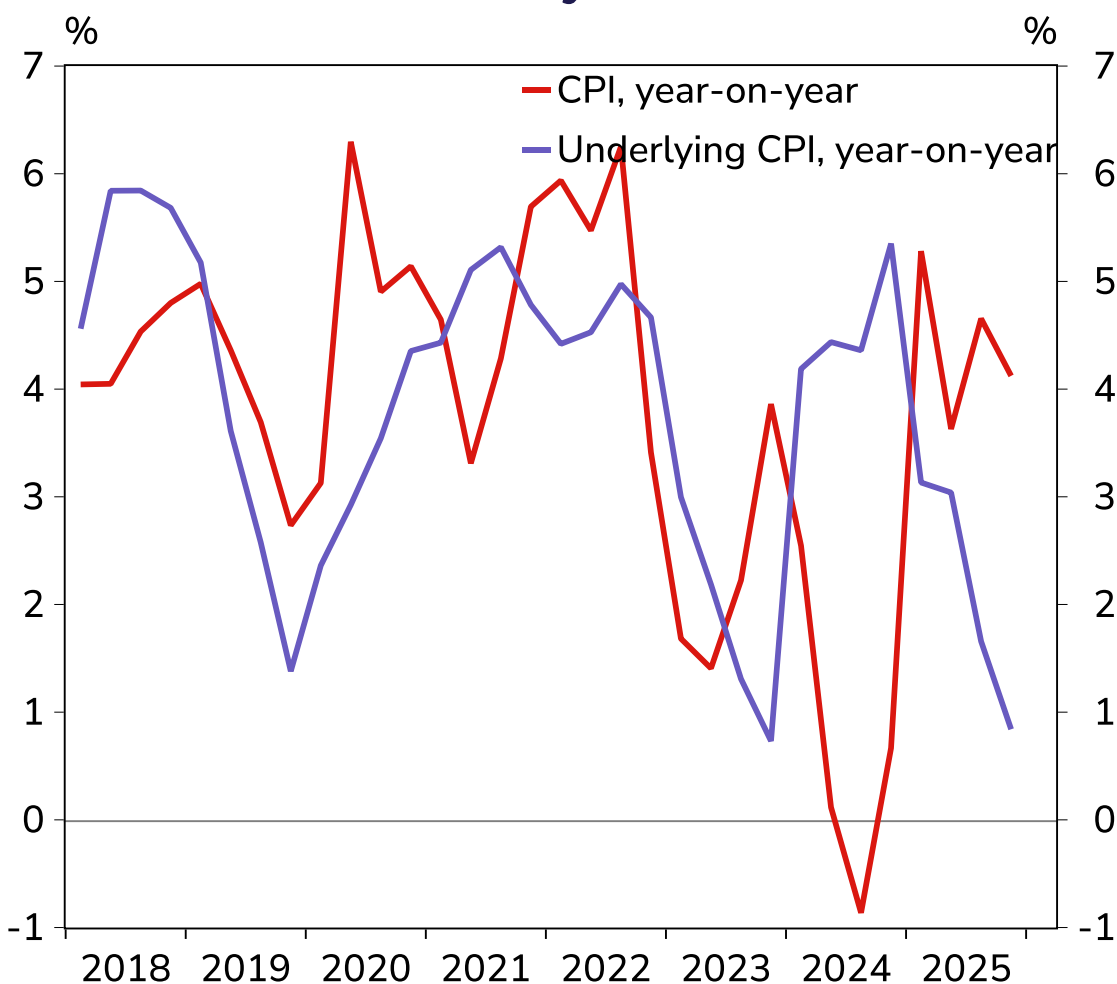


Source: CPB, Macrobond, Westpac Economics

Inflation surges in the highlands – volatility elsewhere

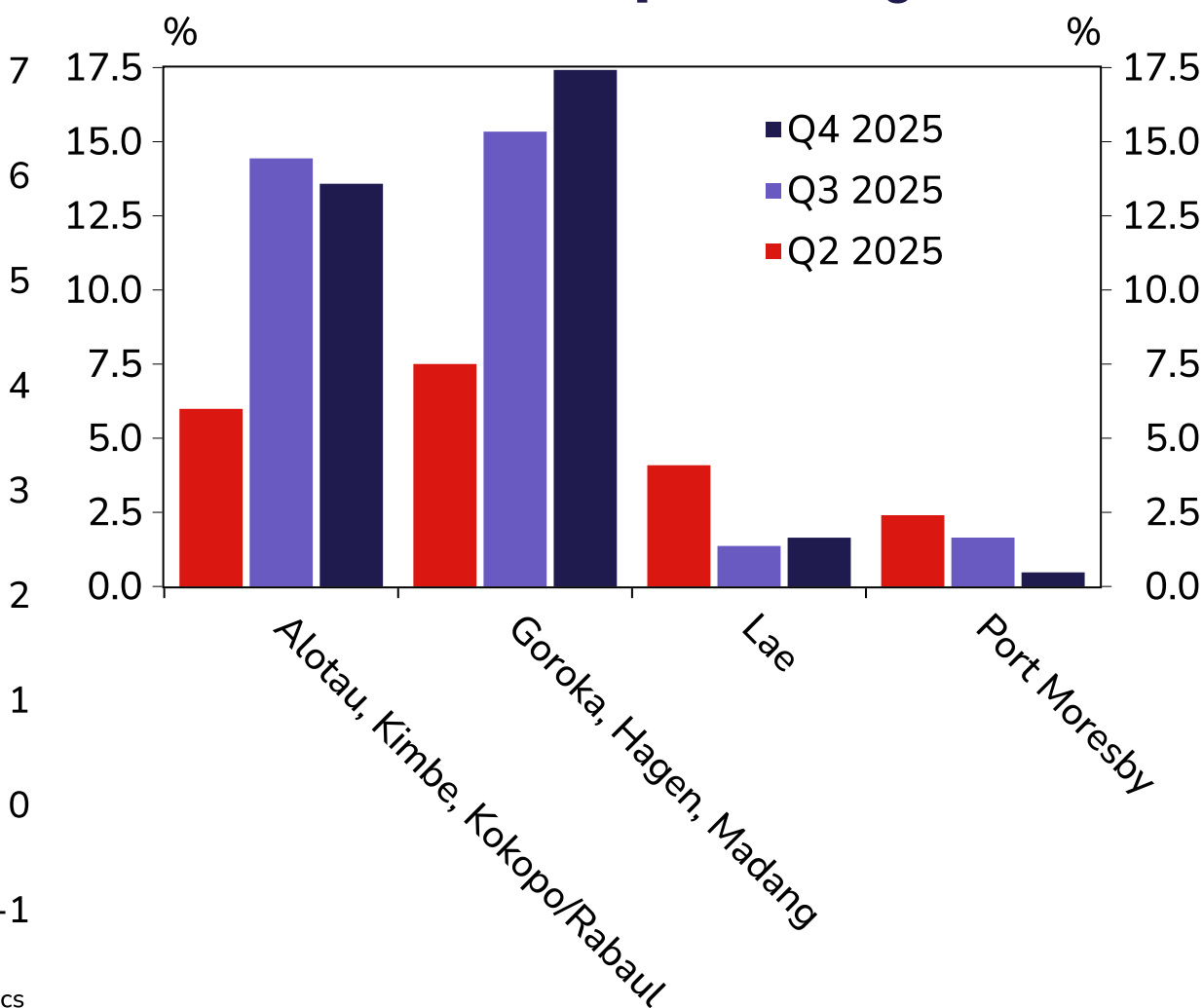


Core inflation falls to 2-year low at 2025-end



Source: NSO, Macrobond, Westpac Economics

Headline inflation in respective regions



Source: NSO, Macrobond, Westpac Economics



CEO100 Quietly Optimistic

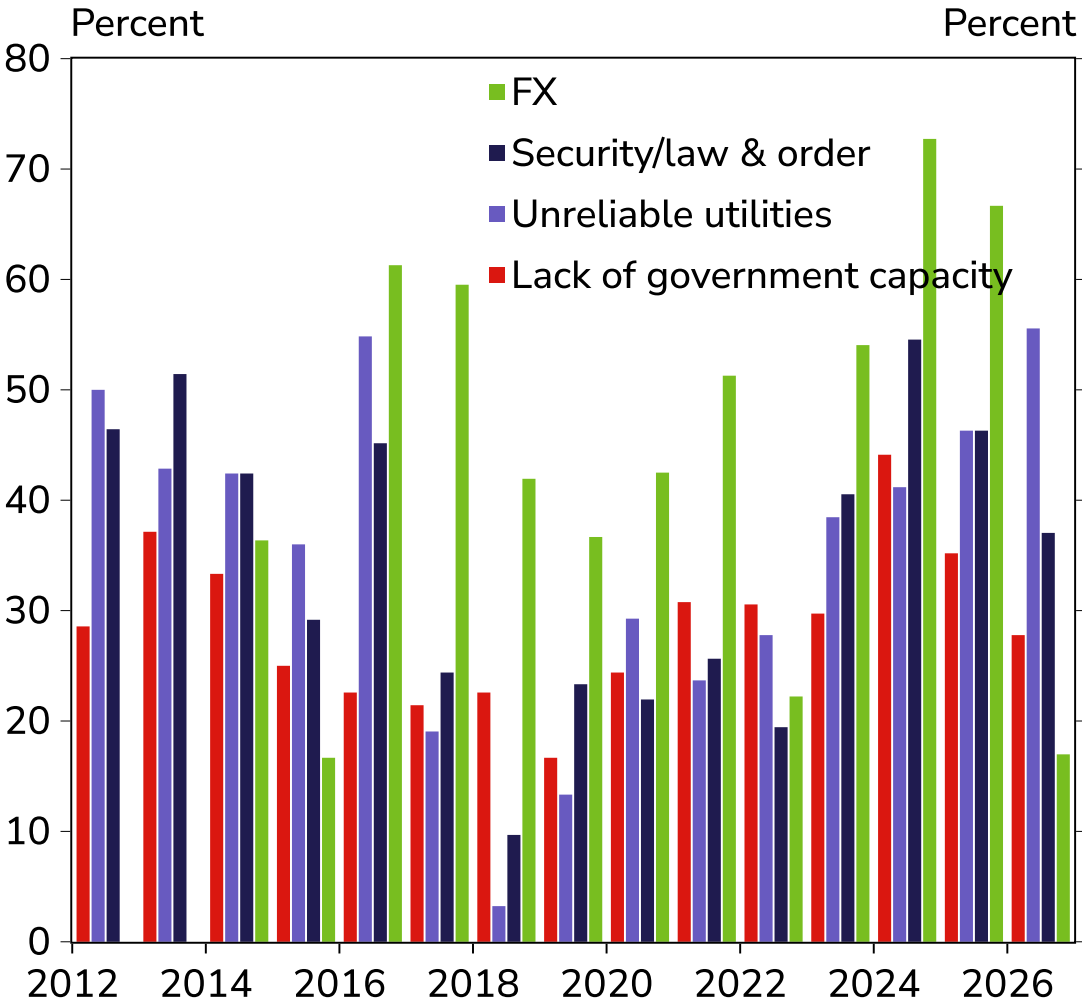
An economy needs power

- 1. Unreliable utilities, number three in 2025 and nearing historically high.
- 2. Security / law and order, number two in 2025.
- 3. Lack of government capacity, number four in 2025.
- 4. Shortage of expertise and skills, which has improved.
- 5. Inflation, concerns have eased but remains above average.
- 6. Regulatory uncertainty, sneaks in as FX drops out.

Top four mission critical concerns shifted this year

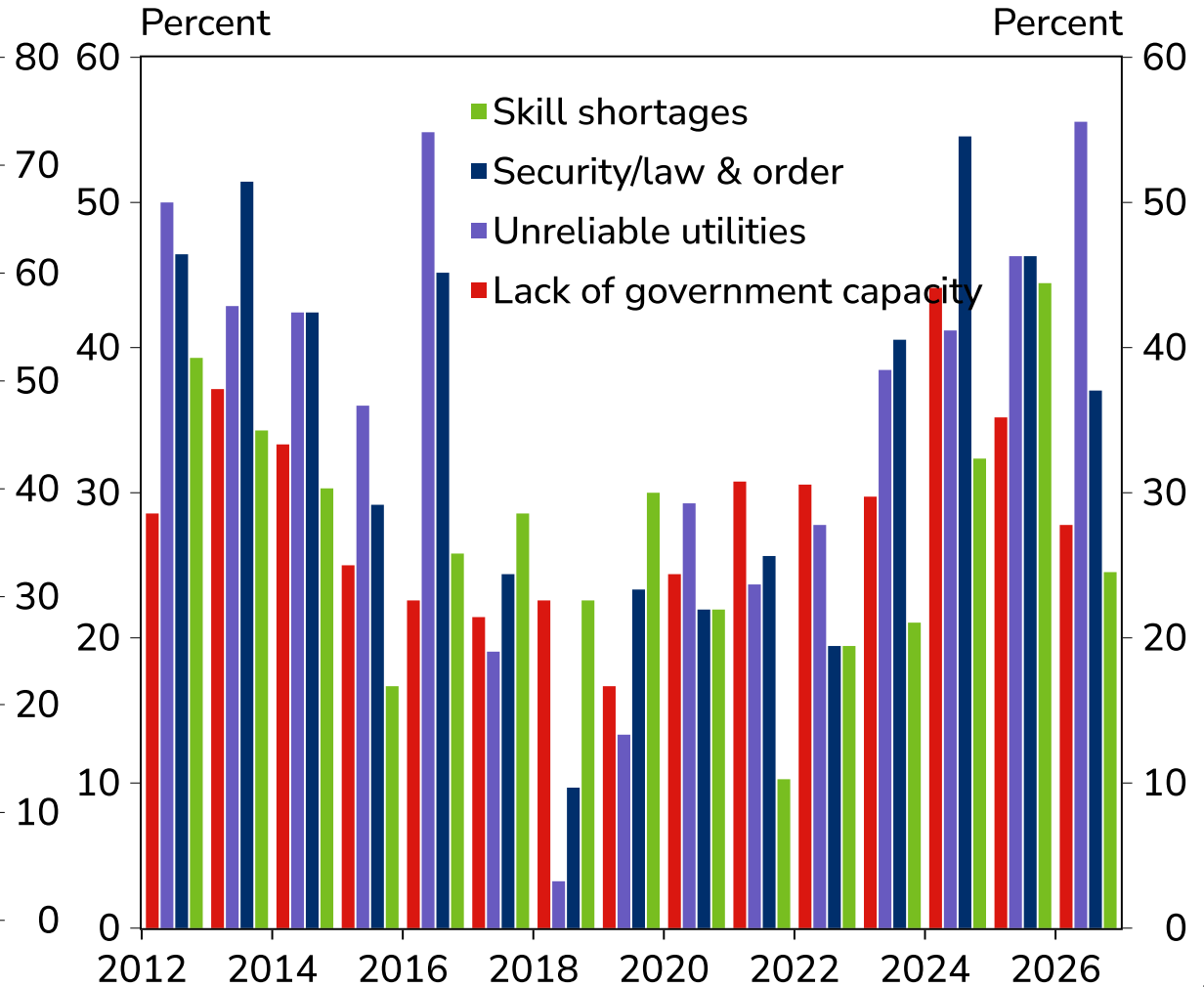


FX was the critical concern in 2025...



Source: Business Advantage, Macrobond, Westpac Economics

...to be replaced by unreliable utilities in 2026

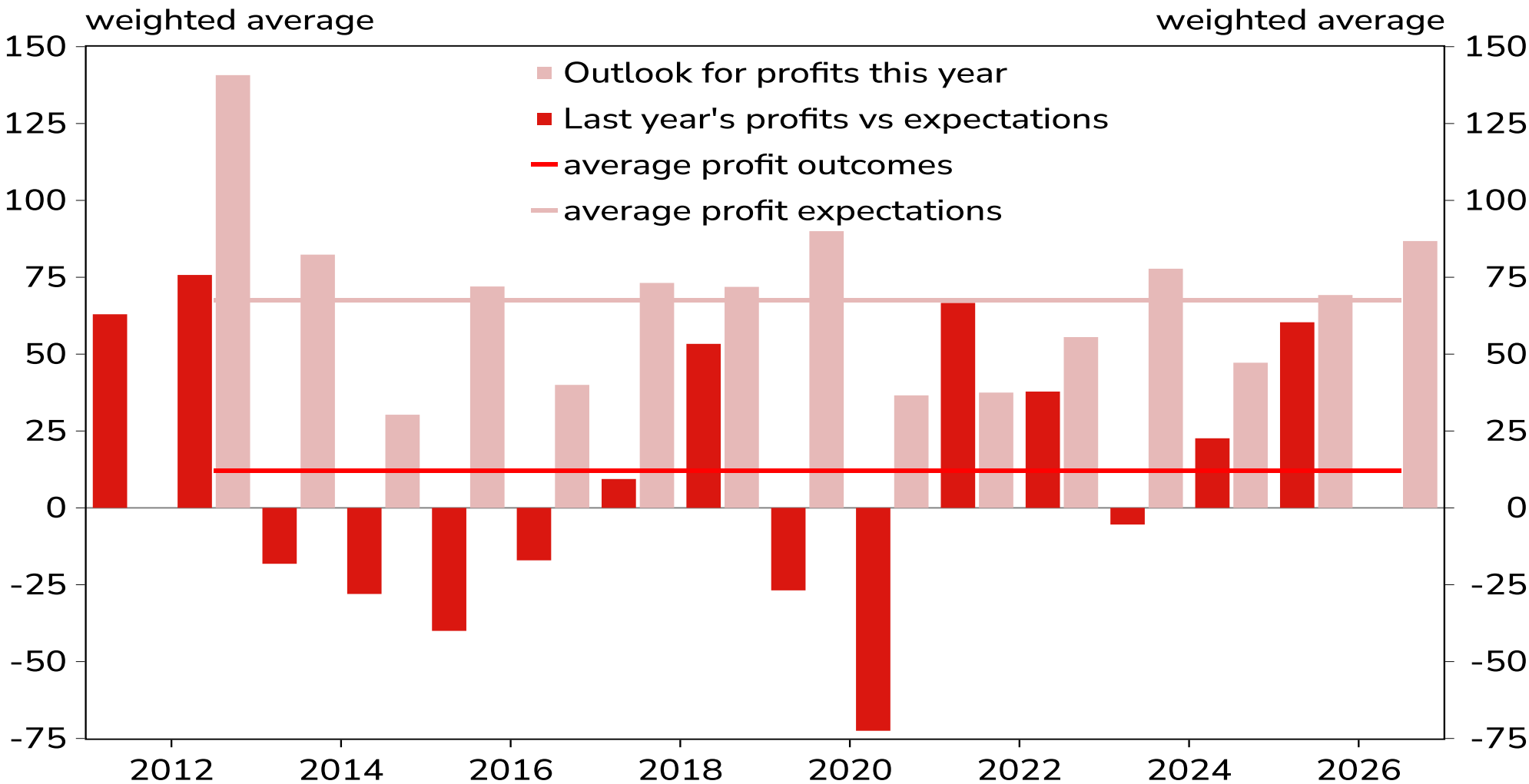


Source: Business Advantage PNG, Macrobond, Westpac Economics

We are seeing a trend improvement in profits



CEO 100 Profits: outcome vs expectation

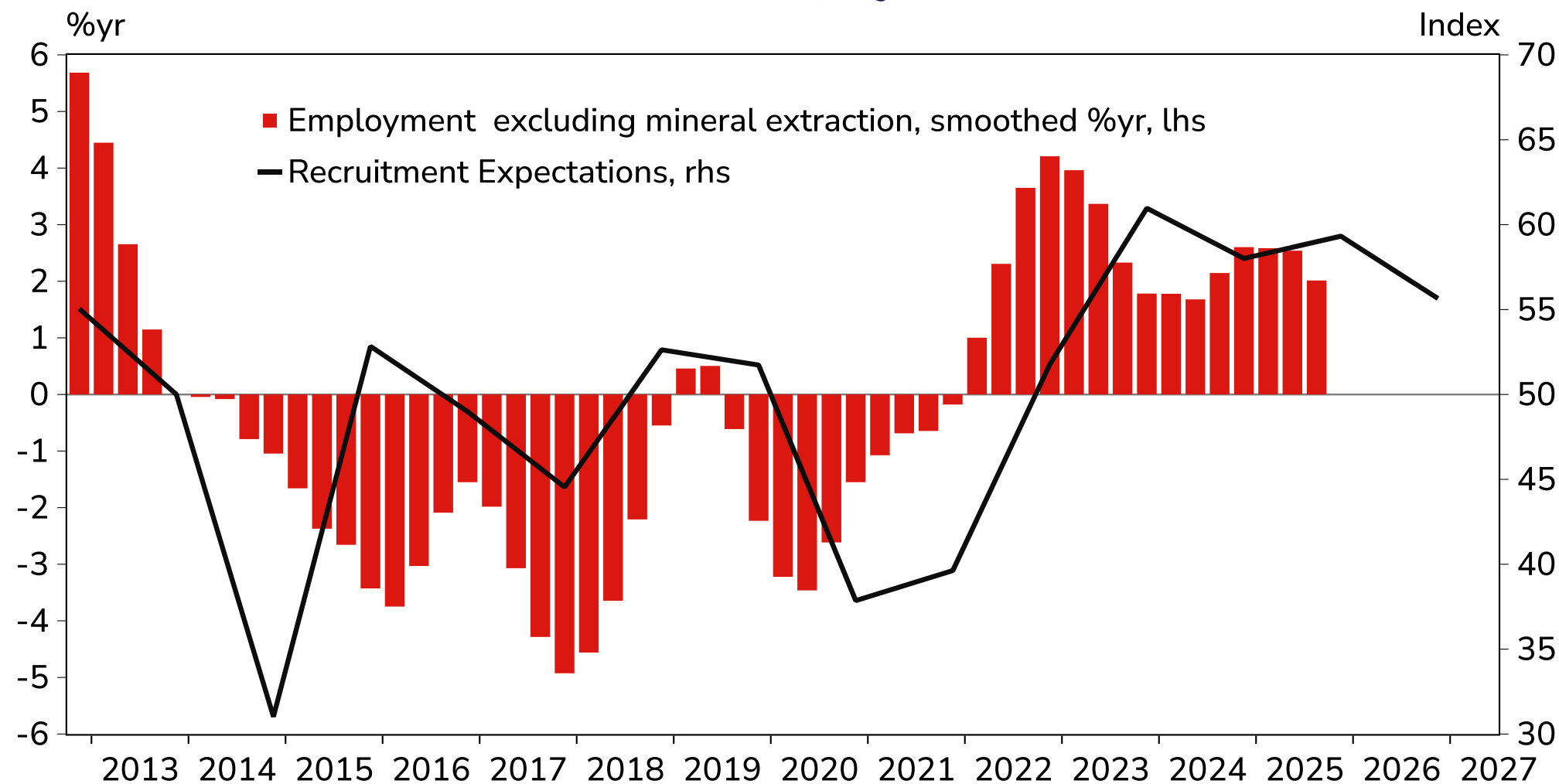


Source: Business Advantage, Macrobond, Westpac Economics

Expectations points to employment growth



CE0100 Recruitment vs non mineral employment

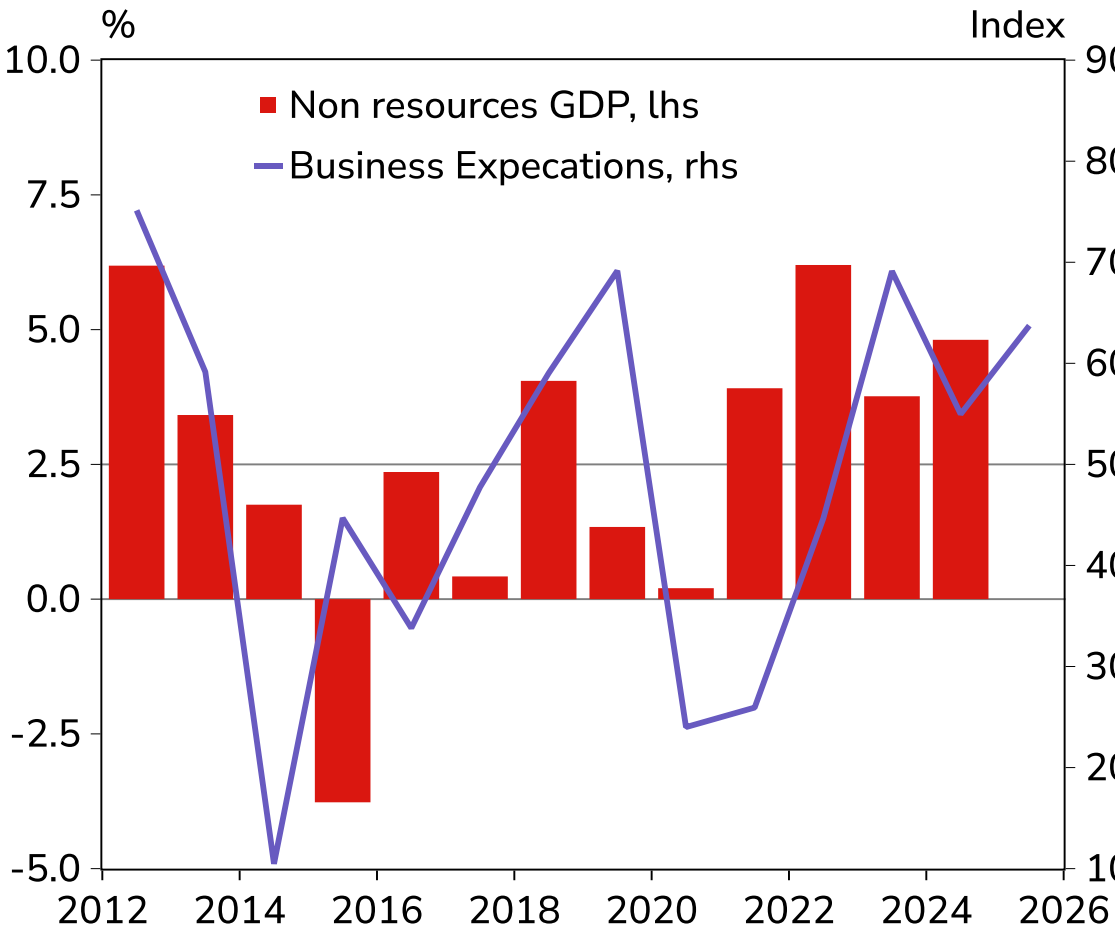


Source: Business Advantage PNG, Macrobond, Westpac Economics

Expectation rise as does business confidence

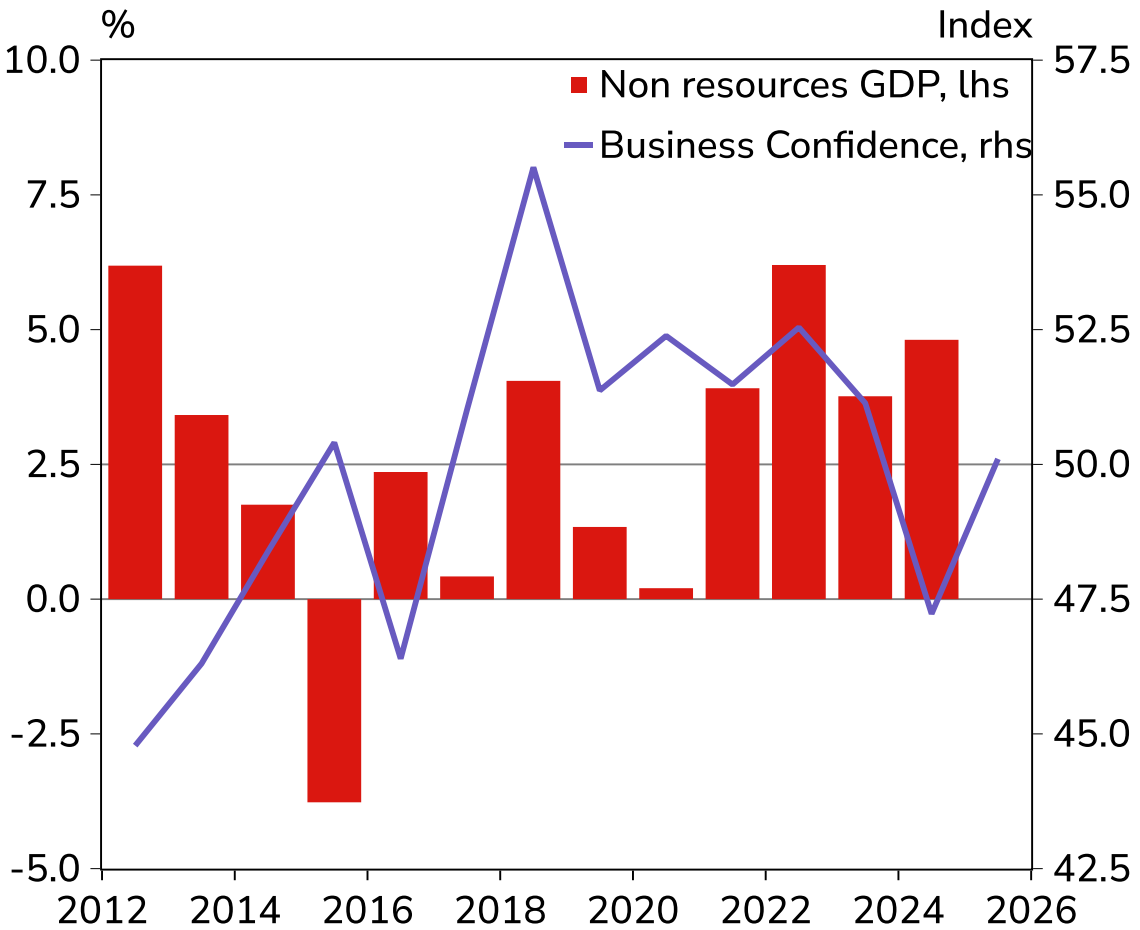


Westpac Business Advantage Business Expectations Index



Source: Business Advantage PNG, Macrobond, Westpac Economics

Westpac Business Advantage Business Confidence Index

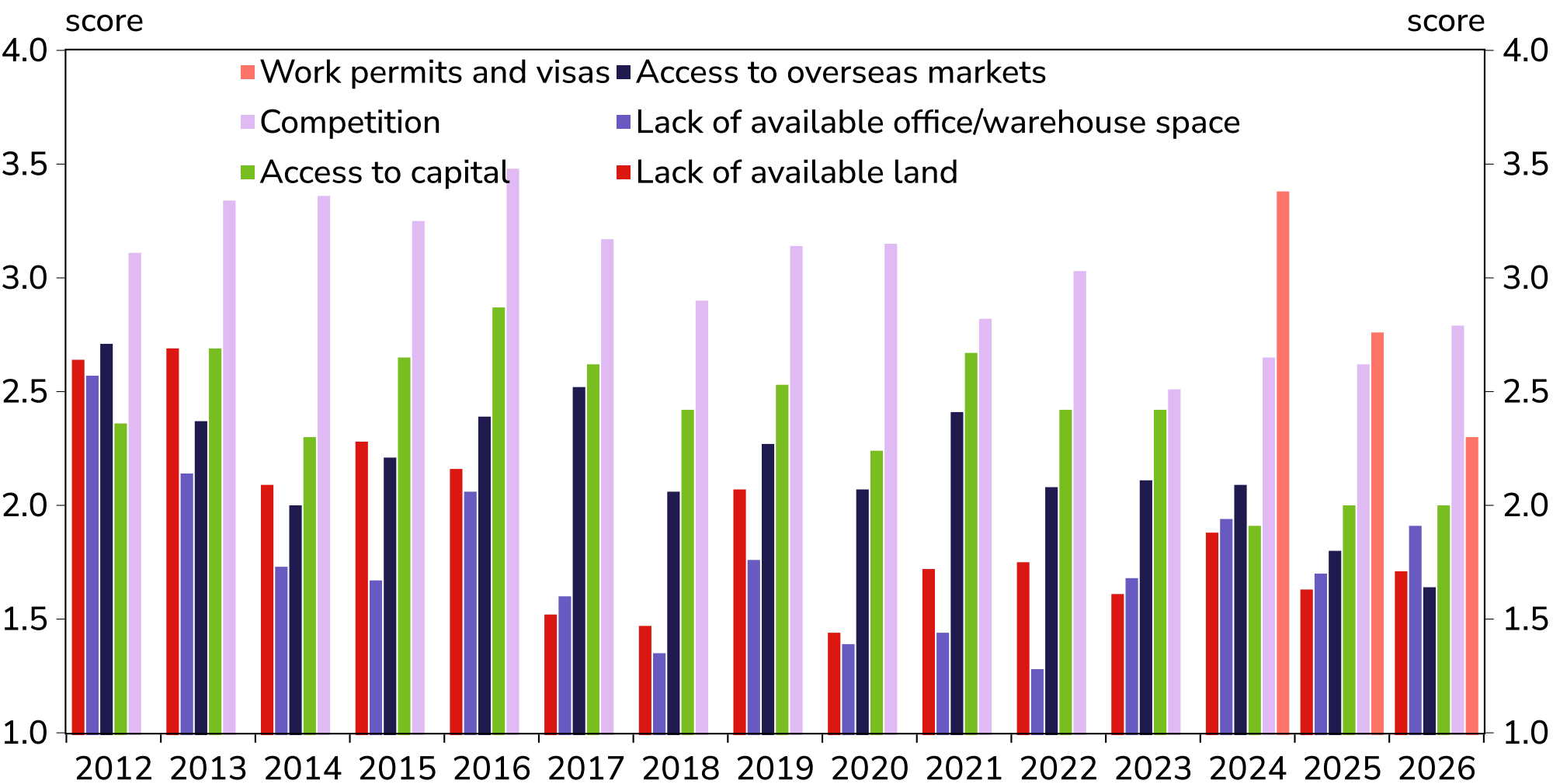


Source: Business Advantage PNG, Macrobond, Westpac Economics

There are more pressing concerns than land and capital



Six factor of least concern for PNG businesses



Source: Business Advantage PNG, Macrobond, Westpac Economics



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